

July 15, 2026 04:41 AM GMT

## Horizon Robotics | Asia Pacific

## HSD 2.0 – Safe Before Sharp

We attended Horizon's HSD 2.0 test ride and mgmt meeting. HSD 2.0 was assured in most scenarios but hesitant in complex ones that should benefit from data training. With order concerns largely discounted, we think the stock needs a trigger rather than a floor. Stay OW.

**Stock priced for doubt, awaiting a trigger:** The stock setup is range-bound in the near term in our view, as the anemic 1H print and lack of a near-term catalyst or valuation anchor should constrain the shares until there is greater clarity on the per-vehicle content impact of the shift from hardware to licensing and design-win upside at anchor customers, like BYD. We think the negatives are largely discounted, but a catalyst is still missing. We will monitor J6/Starry 6P cadence, iCAR-to-mainstream progress, and project win quantification.

**Our test-ride in Shenzhen** suggests the system performs smoothly on highways and wide urban roads without being overly aggressive or conservative. However, it tends to hesitate for extended periods in complex scenarios, such as navigating around parked vehicles amid merging traffic or turning across oncoming traffic. HSD 2.0 also currently lacks reversing capability due to the absence of rearview camera data. However, the team expects the system's overall performance to improve rapidly as more driving data (including rearview) are incorporated into training, with further enhancements delivered through subsequent software updates.

**Horizon acknowledged that HSD 2.0 is still at an early stage and is being improved through rapid iteration.** The system currently errs on the side of caution and can be hesitant in certain scenarios, but records almost no safety-critical takeovers. Mgmt views this as the right trade-off, arguing that unsafe behavior reflects a more fundamental issue.

**Strategically, Horizon aims to become the "Wintel" of autos** by providing the compute and software stack rather than competing as an OEM. Mgmt expects rising industry specialization to create opportunities for third-party autonomy providers and believes Horizon can gain share alongside OEMs' in-house solutions.

**Mgmt emphasized its competitive advantage** lies in execution rather than proprietary technology. While world models, VLA and reinforcement learning are widely known, Horizon's strength lies in commercializing them at scale.

**On customers,** Horizon is deploying its integrated smart-driving and cockpit solution on Chery's iCAR, which it sees as a reference case for broader adoption. Longer term, the company aims to build a recurring, subscription-like per-vehicle revenue model.

**On overseas expansion,** mgmt believes solution providers may face fewer barriers than Chinese automakers by positioning as partners rather than competitors. Horizon also noted a potential opportunity from VW's reported [shift away from Bosch](#), though any overseas contribution is likely to be gradual and long term.

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## Horizon Robotics (9660.HK, 9660 HK)

China Autos &amp; Shared Mobility | China

| Stock Rating                    | Overweight     |
|---------------------------------|----------------|
| Industry View                   | In-Line        |
| Price target                    | HK\$8.70       |
| Up/downside to price target (%) | 97             |
| Shr price, close (Jul 14, 2026) | HK\$4.42       |
| 52-Week Range                   | HK\$11.32-3.60 |
| Sh out, dil, curr (mn)          | 14,652         |
| Mkt cap, curr (mn)              | Rmb56,004.1    |
| EV, curr (mn)                   | Rmb32,730.0    |
| Avg daily trading value (mn)    | HK\$1,419      |

| Fiscal Year Ending         | 12/25    | 12/26e  | 12/27e  | 12/28e |
|----------------------------|----------|---------|---------|--------|
| EPS (Rmb)**                | (0.81)   | (0.19)  | (0.08)  | 0.08   |
| Prior EPS (Rmb)**          | -        | -       | -       | -      |
| Revenue, net (Rmb mn)      | 3,758    | 6,092   | 9,381   | 13,300 |
| EBITDA (Rmb mn)            | (3,750)  | (2,696) | (733)   | 1,893  |
| ModelWare net inc (Rmb mn) | (10,469) | (2,793) | (1,143) | 1,244  |
| P/E                        | NM       | NM      | NM      | 45.0   |
| ROE (%)                    | (87.9)   | (22.1)  | (10.6)  | 11.6   |
| EV/EBITDA                  | NM       | NM      | NM      | 17.8   |

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

\*\* = Based on consensus methodology

e = Morgan Stanley Research estimates

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## Risk Reward – Horizon Robotics (9660.HK)

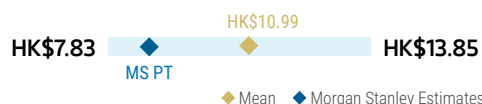
A leading independent autonomous driving solutions provider

### PRICE TARGET HK\$8.70

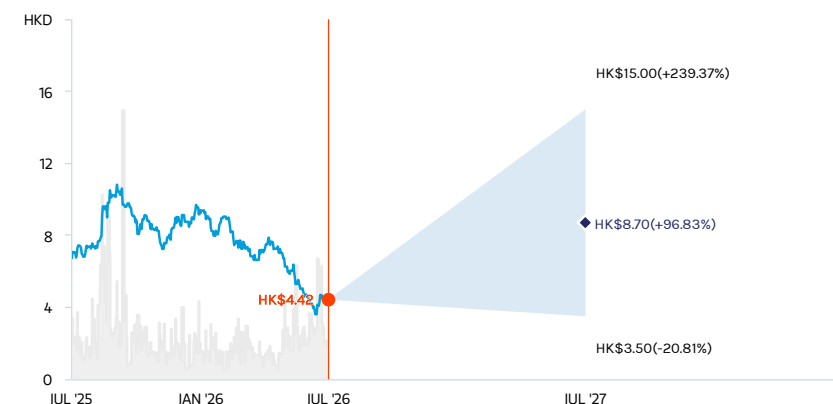
Probability-weighted DCF, with probability weightings of 25% bull case, 50% base case, 25% bear case. The balanced probabilities in our bull case vs. bear case reflect our constructive view on Horizon gaining volume market share among ADAS+AD players in China, but we are also aware of rising competition and potential geopolitical headwinds in the smart driving business. Key DCF assumptions: 12.2% WACC (1.9 beta, 3% long-term growth rate).

#### Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



### RISK REWARD CHART



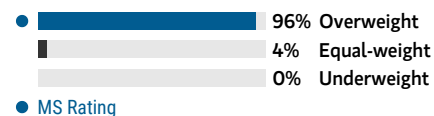
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

### OVERWEIGHT THESIS

- Horizon Robotics is a leading independent autonomous driving solutions provider with scarcity value.
- We believe it is a key beneficiary of China's deepening autonomous driving trend.
- The autonomous driving industry's high barriers to entry favor leading players such as Horizon Robotics, thanks to its technology know-how in both software and hardware.
- Horizon Robotics is also an early mover in the industry with extensive cooperation formed with global OEMs and Tier-1 suppliers.
- We are OW relative to our coverage because we believe Horizon Robotics' solid project pipeline bodes well for its volume share gains among China ADAS and autonomous driving players.

#### Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

#### Risk Reward Themes

Electric Vehicles: *Positive*

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

#### BULL CASE

HK\$15.00

##### 30x bull case 2026E revenue

We assume (1) J6P reaches mass delivery in 2026, (2) total ADAS+AD volume to exceed 5.5mn units in 2026 and 8mn units in 2027, and (3) Horizon Robotics reaches profit breakeven in 2027.

#### BASE CASE

HK\$8.20

##### 18x base case 2026E revenue

We expect (1) J6P ramps up gradually, (2) total ADAS+AD volume to reach 5.1mn units in 2026 and 7.1mn units in 2027, and (3) Horizon Robotics reaches profit breakeven by 2028.

#### BEAR CASE

HK\$3.50

##### 9x bear case 2026E revenue

We assume (1) J6P ramps up slower than expected, (2) total ADAS+AD volume to be less than 5mn units in 2026 and 6mn units in 2027 due to order loss amid OEMs' switch to in-house solutions, and (3) Horizon Robotics remains loss-making in 2028.

## Risk Reward – Horizon Robotics (9660.HK)

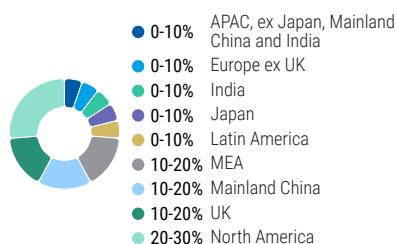
### KEY EARNINGS INPUTS

| Drivers                                | Dec 2025 | Dec 2026e | Dec 2027e | Dec 2028e |
|----------------------------------------|----------|-----------|-----------|-----------|
| Product solutions Revenue (Rmb, mn)    | 1,622    | 3,948     | 7,107     | 10,885    |
| License and Services Revenue (Rmb, mn) | 1,935    | 2,032     | 2,133     | 2,240     |
| Total Gross Profit (Rmb, mn)           | 2,426    | 3,323     | 5,241     | 7,592     |

### INVESTMENT DRIVERS

- ADAS/AD adoption rate in China
- Design-win by Horizon Robotics' next-generation products - J6 series
- Sales ramp-up of mass produced products equipped with the company's solution

### GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

### MS ALPHA MODELS

**5/5**  
**MOST**

**3 Month**  
**Horizon**

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

### RISKS TO PT/RATING

#### RISKS TO UPSIDE

- Faster-than-expected ADAS/AD adoption growth in China
- Delays/failure in OEMs' in-house hardware design
- Narrowing access to other solutions providers in China
- Expanding customer base with additional key customers

#### RISKS TO DOWNSIDE

- Slower-than-expected ADAS/AD adoption in China
- Supply chain disruption
- OEMs' successful in-house hardware design initiatives
- Vehicle sales pressure from key customers in China

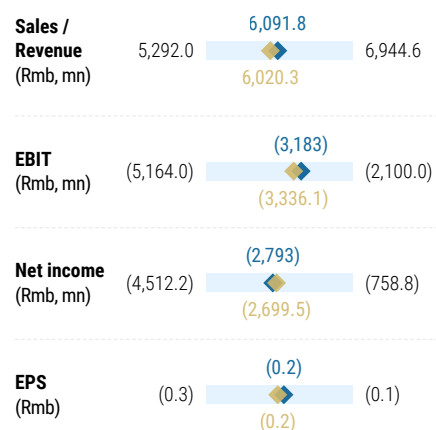
### OWNERSHIP POSITIONING

Inst. Owners, % Active **47.8%**

Source: Refinitiv, Morgan Stanley Research

### MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

## Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options\\_Probabilities\\_Exhibit\\_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR\\_Themes\\_Exhibit\\_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG\\_Exhibit\\_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG\\_Sustainable\\_Solutions\\_External\\_Link.pdf](#)
5. View explanation of HERS methodology - [ESG\\_HERS\\_External\\_Link.pdf](#)

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| Stock Rating Category | Coverage Universe |            | Investment Banking Clients (IBC) |                |                      | Other Material Investment Services Clients (MISC) |                       |
|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
|                       | Count             | % of Total | Count                            | % of Total IBC | % of Rating Category | Count                                             | % of Total Other MISC |
| Overweight/Buy        | 1544              | 42%        | 453                              | 49%            | 29%                  | 757                                               | 44%                   |
| Equal-weight/Hold     | 1577              | 43%        | 390                              | 42%            | 25%                  | 769                                               | 44%                   |
| Not-Rated/Hold        | 3                 | 0%         | 1                                | 0%             | 33%                  | 1                                                 | 0%                    |
| Underweight/Sell      | 544               | 15%        | 89                               | 10%            | 16%                  | 204                                               | 12%                   |
| Total                 | 3,668             |            | 933                              |                |                      | 1731                                              |                       |

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## Stock Price, Price Target and Rating History (See Rating Definitions)

Horizon Robotics (9660.HK) - As of 07/15/26 GMT in HKD  
Industry : China Autos & Shared Mobility



Stock Rating History: 12/2/24 : 0/I

Price Target History: 12/2/24 : 5.5; 2/28/25 : 10.5; 10/13/25 : 11.5; 4/15/26 : 10; 7/6/26 : 8.7

Source: Morgan Stanley Research      Date Format : MM/DD/YY      Price Target ---      No Price Target Assigned (NA)  
Stock Price (Not Covered by Current Analyst) --- Stock Price (Covered by Current Analyst) ---  
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View  
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)  
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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## INDUSTRY COVERAGE: China Autos & Shared Mobility

| COMPANY (TICKER)                                     | RATING (AS OF) | PRICE* (07/14/2026) |
|------------------------------------------------------|----------------|---------------------|
| <b>Joey Xu, CFA</b>                                  |                |                     |
| Anhui Jianghuai Automobile (600418.SS)               | E (08/19/2023) | Rmb22.50            |
| BAIC Motor (1958.HK)                                 | E (10/02/2025) | HK\$0.80            |
| Brilliance China Automotive (1114.HK)                | E (03/31/2025) | HK\$1.94            |
| Chongqing Changan Automobile (000625.SZ)             | E (03/03/2026) | Rmb6.94             |
| Guangzhou Automobile Group (601238.SS)               | U (10/23/2019) | Rmb4.94             |
| Guangzhou Automobile Group (2238.HK)                 | O (05/05/2020) | HK\$2.10            |
| Huayu Automotive (600741.SS)                         | O (09/08/2020) | Rmb16.15            |
| Jiangsu Changshu Automotive Trim Group (603035.SS)   | E (08/14/2023) | Rmb10.70            |
| Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)     | E (05/05/2026) | Rmb21.37            |
| SAIC Motor Corp. Ltd. (600104.SS)                    | O (11/25/2021) | Rmb10.05            |
| Voyah Automotive Technology Co. Ltd. (7489.HK)       | O (03/31/2026) | HK\$2.96            |
| Zhengzhou Yutong Bus Co (600066.SS)                  | E (09/22/2023) | Rmb28.65            |
| <b>Shelley Wang, CFA</b>                             |                |                     |
| Beijing Jingwei Hirain Technologies (688326.SS)      | U (09/27/2024) | Rmb63.69            |
| Bethel Automotive Safety Systems Co Ltd (603596.SS)  | O (12/11/2023) | Rmb22.61            |
| Changzhou Xingyu Automotive Lighting Sys (601799.SS) | O (09/27/2024) | Rmb90.48            |
| China MeiDong Auto Holdings Ltd (1268.HK)            | U (07/10/2026) | HK\$0.51            |
| China Yongda Automobiles Services (3669.HK)          | U (07/10/2026) | HK\$0.83            |
| Foryou Corporation (002906.SZ)                       | O (03/06/2024) | Rmb23.26            |
| Fuyao Glass Industry Group (600660.SS)               | E (12/01/2016) | Rmb50.70            |
| Fuyao Glass Industry Group (3606.HK)                 | E (12/01/2016) | HK\$50.15           |
| Huizhou Desay SV Automotive Co Ltd (002920.SZ)       | O (02/28/2025) | Rmb80.80            |
| Keboda (603786.SS)                                   | O (01/17/2024) | Rmb39.60            |
| Minth Group Limited (0425.HK)                        | O (08/24/2015) | HK\$26.92           |
| NavInfo Co Ltd (002405.SZ)                           | U (03/06/2024) | Rmb6.22             |
| Nexteer Automotive Group (1316.HK)                   | E (02/28/2025) | HK\$3.83            |
| Ningbo Joyson Electronic Corp (600699.SS)            | E (03/11/2026) | Rmb20.29            |
| Ningbo Tuopu Group Co Ltd (601689.SS)                | E (11/12/2025) | Rmb54.36            |

|                                                  |                |           |
|--------------------------------------------------|----------------|-----------|
| Ningbo Xusheng Group Co Ltd (603305.SS)          | E (06/18/2025) | Rmb11.23  |
| Suzhou Recodeal Interconnect System (688800.SS)  | O (07/02/2026) | Rmb72.88  |
| TUHU Car Inc (9690.HK)                           | O (07/29/2024) | HK\$13.31 |
| Zhejiang Sanhua Intelligent Controls (002050.SZ) | E (11/12/2025) | Rmb41.94  |
| Zhongsheng Group Holdings (0881.HK)              | E (07/10/2026) | HK\$4.65  |
| <b>Tim Hsiao</b>                                 |                |           |
| BAIC BluePark New Energy (600733.SS)             | U (08/07/2024) | Rmb4.57   |
| BYD Company Limited (002594.SZ)                  | O (04/14/2025) | Rmb90.18  |
| BYD Company Limited (1211.HK)                    | O (04/14/2025) | HK\$86.15 |
| EHang Holdings Ltd (EH.O)                        | O (03/13/2025) | US\$5.45  |
| Geely Automobile Holdings (0175.HK)              | O (06/26/2024) | HK\$18.31 |
| Great Wall Motor Company Limited (601633.SS)     | U (03/16/2022) | Rmb15.03  |
| Great Wall Motor Company Limited (2333.HK)       | E (01/08/2024) | HK\$8.70  |
| Hesai Group (HSAI.O)                             | O (07/28/2025) | US\$15.61 |
| Horizon Robotics (9660.HK)                       | O (12/02/2024) | HK\$4.42  |
| Li Auto Inc. (LI.O)                              | O (08/24/2020) | US\$12.47 |
| Li Auto Inc. (2015.HK)                           | O (11/16/2021) | HK\$48.56 |
| NIO Inc. (9866.HK)                               | O (10/03/2022) | HK\$40.64 |
| NIO Inc. (NIO.N)                                 | O (08/26/2020) | US\$5.01  |
| WeRide Inc (WRD.O)                               | O (11/19/2024) | US\$6.12  |
| XPeng Inc. (9868.HK)                             | O (11/16/2021) | HK\$52.35 |
| XPeng Inc. (XPEV.N)                              | O (01/29/2021) | US\$13.36 |

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\* Historical prices are not split adjusted.